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UNITED STATES BANKRUPTCY COURT

CENTRAL DISTRICT OF CALIFORNIA

SANTA ANA DIVISION

In re:
THE LITIGATION PRACTICE GROUP P.C.,
Debtor.

RICHARD A. MARSHACK, Trustee of the LPG Liquidation Trust,
Plaintiff,

v.

CHOICE ADMINISTRATORS INSURANCE SERVICES, INC., a California Corporation; and DOES 1 through 20, inclusive,
Defendant(s).

Case No. 8:23-bk-10571-SC
Chapter 11

Adv. No. 8:26-ap-01078-SC

COMPLAINT FOR: (1) AVOIDANCE, RECOVERY, AND PRESERVATION OF PREFERENTIAL TRANSFERS [11 U.S.C. §§ 547, 550, AND 551]; (2) AVOIDANCE, RECOVERY, AND PRESERVATION OF ACTUAL FRAUDULENT TRANSFERS [11 U.S.C. §§ 544, 548(a)(1)(A), 550, 551; CAL. CIV. CODE §§ 3439.04(a)(1) AND 3439.07]; (3) AVOIDANCE, RECOVERY, AND PRESERVATION OF CONSTRUCTIVE FRAUDULENT TRANSFERS [11 U.S.C. §§ 544, 548(a)(1)(B); 550, 551; CAL. CIV. CODE §§ 3439.04(a)(2), 3439.05, AND 3439.07]; (4) AVOIDANCE, RECOVERY, AND PRESERVATION OF UNAUTHORIZED POST-PETITION TRANSFERS [11 U.S.C. §§ 549, 550, AND 551]; AND (5) DISALLOWANCE OF

CLAIMS HELD BY DEFENDANTS [11 U.S.C. § 502(d)]

[Status conference to be set by summons]

Richard A. Marshack, solely in his capacity as Trustee of the LPG Liquidation Trust, files this complaint against Choice Administrators Insurance Services, Inc., a California Corporation ("Defendant") and Does 1 through 20, inclusive, (collectively, "Doe Defendants"), and alleges as follows:

STATEMENT OF THE CASE

1. A bankruptcy trustee can avoid a debtor's preferential, fraudulent, and unauthorized post-petition transfers of property. In this case, Trustee alleges that Debtor's insiders ("LPG Insiders") established one or more entities, including Prime Logix, LLC ("Prime Logix"). The LPG Insiders then caused monies paid to and belonging to Debtor to be deposited in one or more accounts nominally titled in the name of Prime Logix. Such funds were not "transferred," as that term is defined in 11 U.S.C. § 101(54), to Prime Logix. Instead, the beneficial and equitable ownership of the funds always remained Debtor's property. The LPG Insiders took these actions to keep Debtor's cash outside the reach of creditors.

2. At least $162,182.92 of such funds belonging to Debtor were then transferred to Defendant from the accounts nominally titled with Prime Logix (collectively, the "Transfers"). Trustee alleges that some or all of the Transfers were then subsequently transferred by Defendant to one or more of the Doe Defendants. The Transfers to Defendant occurred during the four-year period prior to the petition date, including certain sums transferred during the 90-day period prior to bankruptcy, and post-petition.

3. Under these facts, Trustee can avoid the Transfers and recover from Defendant as the "initial" transferee of such transfers and/or from Doe Defendants as "subsequent" transferees who did not take in good faith, for value, and without knowledge of the avoidability of such transfers. The Trustee alleges that neither the Defendant nor any of the Doe Defendants received the Transfers in good faith, for value, and without knowledge of their avoidability.

STATEMENT OF JURISDICTION AND VENUE

4. The Court has jurisdiction over this adversary proceeding pursuant to 28 U.S.C. §§ 157 and 1334 in that this action arises in and relates to the bankruptcy case pending in the United States Bankruptcy Court for the Central District of California, Santa Ana Division, entitled *In re The Litigation Practice Group, P.C.*, Bankruptcy Case Number 8:23-bk-10571-SC.

5. Plaintiff has standing to bring this adversary proceeding pursuant to Provision V.E. of the Modified First Amended Joint Chapter 11 Plan of Liquidation, confirmed by the Court on September 9, 2024, as Dk. No. 1646. The Plan provides that the estate's litigation claims, including avoidance claims, were transferred to the LPG Liquidating Trust. Plaintiff brings these claims on behalf of the Trust.

6. This adversary proceeding is a core proceeding under 28 U.S.C. § 157(b)(2)(A), (B), (E), (F), (H), and (O), and this Court has Constitutional authority to enter a final judgment on these claims. To the extent any claim for relief contained herein is determined not to be a non-core proceeding or a Stern-claim, Plaintiff consents to the entry of final judgment and orders by the Bankruptcy Court.

7. Venue properly lies in the Central District of California in that this adversary proceeding arises in or is related to a case under Title 11 of the United State Code as provided in 28 U.S.C. §§ 1408 and 1409.

PARTIES

8. The Litigation Practice Group P.C. (previously defined as "Debtor") is a corporation organized under the laws of the State of California, that had its principal place of business in Tustin, California. During all relevant times prior to bankruptcy, Daniel S. March ("Mr. March") was the Chief Executive Officer of Debtor.

9. On March 20, 2023 ("Petition Date"), the Debtor filed a voluntary petition under Chapter 11 of Title 11 of the United States Code, initiating bankruptcy Case No. 8:23-bk-10571-SC ("Bankruptcy Case") in the United States Bankruptcy Court for the

Central District of California, Santa Ana Division.

10. Richard A. Marshack (previously defined as "Trustee" or "Plaintiff") was the duly-appointed, qualified, and acting Chapter 11 Trustee for the Debtor's bankruptcy estate ("Estate"). Pursuant to the confirmed Plan, the Trustee now serves as Trustee of the LPG Liquidation Trust, which now owns all of the litigation claims, including the Estate's avoidance actions.

11. Plaintiff alleges that, at all relevant times, Defendant was a domestic corporation formed and existing under the laws of the State of California. Defendant's address and/or principal place of business is 721 South Parker, Ste. 140, Orange, CA 92868.

12. Plaintiff is ignorant of the true names and capacities of the Doe Defendants and, therefore, sues said defendants under such fictitious names. Plaintiff will amend this Complaint to reflect the true names and capacities of such defendant(s) when they have been ascertained.

GENERAL ALLEGATIONS

A. The Bankruptcy Case

13. Pre-petition, Debtor was a law firm that provided consumer debt resolution services to more than 50,000 clients nationwide.

14. Tony Diab ("Mr. Diab") owned, operated, dominated and controlled Debtor.

15. On May 8, 2023, Trustee accepted his appointment as the Chapter 11 Trustee in the Bankruptcy Case. To the extent that Trustee was not appointed until after any of the events alleged in this Complaint, the allegations are based on information and belief. See *Soo Park v. Thompson*, 851 F.3d 910, 928 (9th Cir. 2017); *Miller v. City of Los Angeles*, 2014 U.S. Dist. LEXIS 198871, at *5 (C.D. Cal. Aug. 7, 2014).

C. Ponzi Scheme

16. Mr. Diab used the Diab Entities he controlled to keep millions of dollars of Debtor's money away from its creditors. The use of the Diab Entities also permitted him to operate, without oversight or detection, and to avoid payment disputes and complications.

17. The Debtor knew it did not have the ability to repay its various creditors and, thus, the actions taken by the Debtor constituted a Ponzi scheme orchestrated for improper personal gain.

18. This Court has recognized that Debtor operated a Ponzi scheme by using funds provided by former investors to attract new investors hoping for very high returns. See Dk. No. 1545, fn. 5.

19. The Ponzi Scheme Presumption establishes a debtor's "intent to defraud future undertakers [investors] from the mere fact that a debtor was running a Ponzi scheme." *Merrill v. Abbott (In re Independent Clearing House Co.)*, 77 B.R. 843, 860 (D. Utah 1987). "Knowledge to a substantial certainty constitutes intent in the eyes of the law, cf. Restatement (Second) of Torts § 8A (1963 & 1964), and a debtor's knowledge that future investors will not be paid is sufficient to establish his actual intent to defraud them." *Id.* A trustee in bankruptcy is not required to show that an operator of a Ponzi scheme was subjectively aware his Ponzi scheme was destined to fail. *In re EPD Inv. Co., LLC*, 114 F.4th at 1153 (9th Cir. 2024).

20. Based on the Ponzi Scheme presumption, the Court can presume that the Debtor had the actual intent to defraud investors within the meaning of 11 U.S.C. § 548(a)(1). Since the transfers by Debtor to third parties, including Defendants, were made with the intent to further the Ponzi scheme, the Debtor did not receive an objectively reasonable equivalent value for such transfers, and the Trustee can avoid any such transfers because they were preferential and/or fraudulent.

E. Debtor's Insolvency

21. Debtor was insolvent when the Transfers occurred as evidenced by: (a) the 14 UCC-1 statements reflecting secured liens against the Debtor's owned and after-acquired assets and the assignment or sale of substantial portions of the Debtor's future income; (b) the priority and non-priority unsecured debt of nearly $142 million listed in Debtor's schedules; (c) the $424 million of creditor claims filed in this Bankruptcy Case; and (d) Debtor's balance sheets reflecting, at its highest point, $17.9 million of assets in November 2021.

22. Moreover, insolvency is presumed as a matter of law where, as in this Bankruptcy Case, the debtor operated a Ponzi scheme. See, e.g., *Glob. Money Mgmt., L.P. v. McDonnold*, 2008 U.S. Dist. LEXIS 128733, at *15 (S.D. Cal. Feb. 27, 2008) (concluding that "if a Ponzi scheme is proven, then the debtor is proven insolvent from the time of its inception").

F. The Subject Transfers

23. During the four-year period prior to the Petition Date, the transfers of interests of the Debtor in property were made to Defendant and/or the Doe Defendants in an amount to be proven at trial, but not less than $101,415.88 as set forth in the chart attached as Exhibit 1.

24. Post-petition, the transfers of interests of the Debtor in property were made to Defendant and/or the Doe Defendants in an amount to be proven at trial, but not less than $60,767.04 as set forth in the chart attached as Exhibit 2.

25. To the extent the Court determines that the $83,309.84 in Transfers made during the 90-day period prior to the Petition Date were made on account of antecedent debts owed by the Debtor, the Trustee alleges that such Transfers are avoidable under 11 U.S.C. § 547 (collectively, the "Preferential Transfers").

26. To the extent the Court determines that the $101,415.88 in Transfers made during the four-year period prior to the Petition Date were made: (a) with actual intent to

hinder, delay, or defraud Debtor's creditors; and/or (b) without Debtor receiving reasonably equivalent value in exchange, the Trustee alleges that such Transfers are avoidable under 11 U.S.C. §§ 544 and 548 and under Cal. Civ. Code §§ 3439.04 and 3439.05 (collectively, the "Fraudulent Transfers").

27. Pursuant to 11 U.S.C. § 550(a), Plaintiff is entitled to recover the Transfers or their value from Defendant and Doe Defendants as initial or subsequent transferees.

28. Under 11 U.S.C. § 551, avoided transfers are automatically preserved for the benefit of the Estate.

G. Due Diligence

29. On October 28, 2024, Plaintiff caused a letter to be mailed to Defendant ("First Letter") requesting documents and information to substantiate the Transfers, to assess the purpose of the Transfers, and to evaluate any potential defenses to Plaintiff's avoidance and recovery of the Transfers. Plaintiff received no response to the First Letter.

30. On February 14, 2025, Plaintiff caused a follow-up letter to be mailed to Defendant ("Second Letter") requesting the same documents and information sought in the First Letter. The Second Letter also attached a draft complaint that would be filed by Plaintiff against Defendant absent a response to the Second Letter from Defendant. Plaintiff received no response to the Second Letter.

31. On or around March 17, 2025, Plaintiff and Defendant executed the Tolling Agreement.

32. Prior to filing this Complaint, Plaintiff's counsel conducted an electronic search of Debtor's paper files and accounting records, including Debtor's QuickBooks files, which records and files are now stored electronically. Plaintiff's search of the subject records and files revealed no apparent defenses to the alleged claims.

FIRST CLAIM FOR RELIEF

Avoidance, Recovery, and Preservation of Preferential Transfer

11 U.S.C. §§ 547, 550, and 551 (Against all Defendants)

33. Plaintiff incorporates by reference Paragraphs 1 through 71 and realleges these paragraphs as though set forth in full herein.

34. The Preferential Transfers were made within 90 days prior to the Petition Date.

35. To the extent the Court determines that Debtor owed an antecedent debt to Defendants, Plaintiff alleges that each of the Preferential Transfers are subject to avoidance as preferences.

36. The Preferential Transfers were of property of Debtor.

37. The Preferential Transfers were made at a time when Debtor was insolvent and/or rendered insolvent by virtue of said transfers.

38. Each of the Preferential Transfers made to Defendant enabled Defendant to receive more than it would have received in a hypothetical Chapter 7 case if: (a) such Preferential Transfers had not been made; and (b) Defendant received payment of such debt to the extent provided for by Title 11 of the United States Code.

39. The Preferential Transfers are avoidable pursuant to 11 U.S.C. § 547. Defendant has liability for all avoided Transfers under 11 U.S.C. § 550. The Trustee may preserve all avoided Preferential Transfers from Defendant and/or Doe Defendants for the benefit of the Estate pursuant to 11 U.S.C. § 551.

SECOND CLAIM FOR RELIEF

Avoidance, Preservation, and Recovery of Actual Fraudulent Transfer

11 U.S.C. §§ 544, 550, 551; Cal. Civ. Code §§ 3439.04(a)(1) and 3439.07 (Against all Defendants)

40. Plaintiff incorporates by reference Paragraphs 1 through 71 and realleges these paragraphs as though set forth in full.

41. Under 11 U.S.C. § 544(b)(1), Plaintiff may avoid transfers of an interest of Debtor which are voidable under applicable law by an unsecured creditor of Debtor, including under California Civil Code § 3439.04(a)(1).

42. The Fraudulent Transfers were of property of Debtor.

43. The Fraudulent Transfers were made within four years of the Petition Date.

44. The Fraudulent Transfers were made with the actual intent to hinder, delay, or defraud Debtor's creditors.

45. Debtor received less than reasonably equivalent value in exchange for the Fraudulent Transfers. Defendant and/or Doe Defendants received at least $101,415.88 of property belonging to Debtor.

PRAYER

WHEREFORE, Plaintiff prays for judgment against Defendant and Doe Defendants as follows:

On the First Claim for Relief

1. That the Preferential Transfers be avoided pursuant to 11 U.S.C. § 547(b);

2. That Plaintiff recover the avoided Preferential Transfers or a money judgment in an amount equal to the value of the avoided Preferential Transfers pursuant to 11 U.S.C. § 550;

On the Second Claim for Relief

3. That the Fraudulent Transfers be avoided under 11 U.S.C. § 544 and Cal. Civ. Code §§ 3439.04(a)(1) and 3439.07;

4. That Plaintiff recover the avoided Fraudulent Transfers or a money judgment in an amount equal to the value of the avoided Fraudulent Transfers pursuant to 11 U.S.C. § 550;

On the Third Claim for Relief

5. That the Fraudulent Transfers be avoided under 11 U.S.C. § 544 and Cal. Civ. Code §§ 3439.04(a)(2), 3439.05 and 3439.07;

6. That Plaintiff recover the avoided Fraudulent Transfers or a money judgment in an amount equal to the value of the avoided Fraudulent Transfers pursuant to 11 U.S.C. § 550;

On the Fourth Claim for Relief

7. That the Fraudulent Transfers be avoided under 11 U.S.C. § 548(a)(1)(A);

8. That Plaintiff recover the avoided Fraudulent Transfers or a money judgment in an amount equal to the value of the avoided Fraudulent Transfers pursuant to 11 U.S.C. § 550;

On the Fifth Claim for Relief

9. That the Fraudulent Transfers be avoided under 11 U.S.C. § 548(a)(1)(B);

10. That Plaintiff recover the avoided Fraudulent Transfers or a money judgment in an amount equal to the value of the avoided Fraudulent Transfers pursuant to 11 U.S.C. § 550;

11. That the Unauthorized Post-Petition Transfers be avoided under 11 U.S.C. § 549;

12. That Plaintiff recover the avoided Unauthorized Post-Petition Transfers or a money judgment in an amount equal to the value of the avoided Unauthorized Post-Petition Transfers pursuant to 11 U.S.C. § 550;

On the Seventh Claim for Relief

13. That any claim of Defendant and/or Doe Defendants against the Estate be disallowed in its entirety unless or until Defendant and/or Doe Defendants timely repay the avoidable Transfers;

On All Claims for Relief

14. That Plaintiff only recover a single satisfaction of all avoided Transfers under 11 U.S.C. § 550(d);

15. That all avoided Transfers be preserved pursuant to 11 U.S.C. § 551;

16. For prejudgment interest under state law on all fraudulent transfer claims from the date each transfer was made, as set forth in *In re Slatkin*, 525 F.3d 805, 820 (9th Cir. 2008);

17. For pre-judgment interest on all other claims at the maximum rate allowed by law;

18. For costs incurred by Plaintiff in prosecuting this action; and

19. For such other and further relief as the Court may deem just and proper.

Dated: June 30, 2026

Respectfully submitted,

MARSHACK HAYS WOOD LLP

By: /s/ Chad V. Haes
CHAD V. HAES
Attorneys for Richard A. Marshack, Plaintiff and Trustee of The LPG Liquidation Trust